

FM Lecture 2: Statement of Financial Position

Schaefer Chapters 3 & 4 + Lecture 2 Slides

Schaefer - Principles of Financial Management

Study Notes

LECTURE CONTEXT: STATEMENT OF FINANCIAL POSITION

Recap from Lecture 1

- Financial reporting objectives: true and fair view, decision usefulness
- Framework conditions: CO, Swiss GAAP FER, IFRS, US GAAP
- Basic assumptions: accrual principle, going concern
- Primary principles: understandability, relevance, reliability, comparability
- FM Processes Pyramid: Financial Accounting -> Reporting -> Management Accounting -> Performance Measurement -> Decisions

Learning Objectives for Lecture 2

- Understand the structure of the Statement of Financial Position (SFP)
- Know the definition and recognition criteria for assets and liabilities
- Understand first valuation (acquisition cost, cost of conversion) and subsequent valuation (depreciation, impairment, fair value)
- Apply these concepts to selected positions: inventories, intangible assets, goodwill, provisions

Running Example: Nestle Group (2024)

The lecture uses Nestle's 2024 consolidated SFP as the primary example:

- **Total assets:** CHF 139,264M
- **Goodwill:** CHF 30,595M (22% of total assets)
- **Total equity:** CHF 36,693M (26.4% of total assets)
- Founded 1867, CHF 91.4B sales, CHF 210B market cap, SMI-listed

Nestlé group is one of the worlds largest food and nutrition companies – with many innovations and failures over 150+ years.



In 1867 in Vevey, Henri Nestlé developed a ground-breaking infant nutrition formula. In 1905 the company he founded merged with Anglo-Swiss to form what is now known today as the Nestlé Group.



During this time, cities grow on the one hand, and railroads and steamships on the other hand lower product costs, which drives international trade in consumer goods.



Today, Nestlé is the world's largest food company and the largest industrial company in Switzerland. Nestlé employs 275 000 people worldwide.



Sales in 2024 are CHF 91.4 billion with a profit of CHF 11.2 billion.



Nestlé is listed on the Swiss stock exchange in the SMI, the market capitalization is around CHF 210 billion.

Figure: Nestlé 2024 Consolidated SFP - Asset side and Liability/Equity side

CHAPTER 3: OBJECTIVES AND PRINCIPLES OF FINANCIAL REPORTING

3.2 Objectives of Financial Reporting

- **True and fair view:** Financial statements must present a faithful picture of the company's financial position
- **Decision usefulness:** Information must be useful for stakeholders making economic decisions

3.3 Framework Conditions and Accounting Standards

Swiss Code of Obligations (CO)

- Art. 957: Who must keep accounts (all companies with revenue > CHF 500k)
- Art. 957a: Bookkeeping principles
- Art. 958: True and fair view requirement
- Art. 962: When recognized standards (IFRS, Swiss GAAP FER) are required

Accounting Standards Hierarchy

- **CO (Obligationenrecht):** Minimum legal requirements for all Swiss companies
- **Swiss GAAP FER:** Modular structure, conceptual framework FER 1-6; for mid-sized and non-listed companies
- **IFRS:** International standards by IASB; required for SIX Main Standard listing
- **US GAAP:** FASB standards; required for US-listed companies
- **IPSAS:** For public sector and non-profit organizations

SIX Swiss Exchange Requirements

- International Main Standard: requires IFRS or US GAAP
- Domestic Standard: permits Swiss GAAP FER

3.4 Fundamentals of Financial Reporting

Basic Assumptions

- **Accrual principle:** Revenues and costs are recognized when they occur, not when cash is received/paid
- **Going concern:** Financial statements assume the company will continue to operate

Primary Principles

- (1) **Understandability:** Information must be comprehensible to users with reasonable business knowledge
- (2) **Relevance:** Information must be useful for decisions; includes **materiality** sub-principle
- (3) **Reliability:** Five sub-principles:
 - > Credible presentation, Substance over form, Neutrality, Prudence, Completeness
- (4) **Comparability:** Financial statements must be comparable over time and across companies

3.5 Dimensions of Reporting

- **Components:** SFP, P&L/OCI, Cash Flow Statement, Changes in Equity, Notes
- **Timing:** Annual, half-yearly, quarterly, interim, ad hoc
- **Industry:** Different formats for industrial, banking, insurance, non-profit
- **Scope:** Management report, financial section, supplemental (CSR, sustainability)

CHAPTER 4: STATEMENT OF FINANCIAL POSITION

4.2 SFP Structure

The SFP shows a company's financial position at a specific point in time. It has two sides:

- **Assets** = Current Assets (CA) + Non-Current Assets (NCA)
- **Liabilities and Equity** = Current Liabilities (CL) + Non-Current Liabilities (NCL) + Equity (E)

Fundamental Equation

Assets = Liabilities + Equity. Equity is the residual: Equity = Assets - Liabilities. This equation must always hold.

Current Assets

- Cash and cash equivalents
- Marketable securities
- Trade receivables (net of value adjustments)
- Inventories (raw materials, work-in-progress, finished goods)
- Prepaid expenses and accrued income

Non-Current Assets

- Property, plant and equipment (PPE)
- Intangible assets (patents, trademarks, goodwill)
- Long-term investments

Asset Definition and Recognition Criteria

An item must pass two tests to appear on the SFP:

Definition Criteria (all 3 must be met)

- (1) **Control**: The entity controls the resource
- (2) **Past event**: The resource arose from a past transaction or event
- (3) **Future economic benefits**: The resource is expected to generate future economic benefits

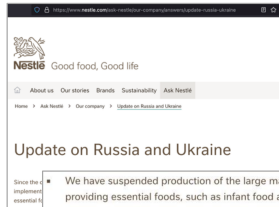
Recognition Criteria (both must be met)

- (1) **Probable economic benefit**: It is probable that future economic benefits will flow to the entity
- (2) **Reliable valuation**: The cost or value can be measured reliably

If definition criteria are met but recognition criteria are not, the item may be disclosed in the **notes** rather than on the SFP.

Nestlé has a solid level of equity (for a public company), however shrinking, and is therewith solid against any potential risk.

Consolidated Financial Statements of the Nestlé Group 2024



- Update on Russia and Ukraine
- We have suspended production of the large majority of SKUs of renowned Nestlé brands to focus on providing essential foods, such as infant food and medical nutrition;
 - We have halted non-essential imports and exports into and out of Russia;
 - We have stopped all advertising;
 - We have suspended capital investment in the country;
 - We continue to fulfil our obligations toward our employees;
 - We fully comply with all applicable international sanctions on Russia; and
 - Any profit made this year will be donated to humanitarian causes.

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In millions of CHF	Notes	2024	2023
Liabilities and equity			
Current liabilities			
Financial debt	12	11 863	9 416
Derivative liabilities	12	408	317
Trade and other payables	7/12	21 807	19 204
Accruals		5 466	5 112
Provisions	11	865	675
Current income tax liabilities		2 435	2 360
Liabilities directly associated with assets held for sale		19	—
Total current liabilities		42 863	37 084
Non-current liabilities			
Financial debt	12	51 697	45 825
Derivative liabilities	12	307	239
Employee benefits liabilities	10	2 629	2 718
Provisions	11	1 086	1 303
Deferred tax liabilities	13	3 767	2 886
Other payables	12	222	108
Total non-current liabilities		59 708	53 079
Total liabilities		102 571	90 163
Equity	17		
Share capital		262	267
Treasury shares		(4 283)	(5 155)
Translation reserve		(26 788)	(27 581)
Other reserves		363	(59)
Retained earnings		66 363	68 251
Total equity attributable to shareholders of the parent		35 917	35 742
Non-controlling interests		776	645
Total equity		36 693	36 387
Total liabilities and equity		139 264	126 550

26.4%
100.0%

Figure: Asset Disclosure Decision Tree - Definition criteria -> Recognition criteria -> SFP or Notes

Example: FC St. Gallen Transfer Fee (Lecture)

FC St. Gallen buys football player 'Ramon Goal' for the following costs:

- **Transfer fee:** CHF 10M (paid to selling club)
- **Hand money:** CHF 1M (paid to player as signing bonus)
- **Salary:** CHF 6M (over 3 years, CHF 2M/year)

Testing the transfer fee against the criteria:

- **Control:** Yes, the club controls the player's registration
- **Past event:** Yes, the transfer contract has been signed
- **Future economic benefits:** Yes, the player will generate revenue (match income, merchandise, potential resale)
- **Probable benefit:** Yes
- **Reliable valuation:** Yes, CHF 10M is the contractual price

Conclusion: **Capitalize the transfer fee** (CHF 10M) as an intangible asset. The salary (CHF 6M) is expensed over the contract period. The hand money (CHF 1M) is part of the acquisition cost.

Liability Definition and Recognition Criteria

Definition Criteria (all 3 must be met)

- (1) **Obligation:** The entity has a present obligation (legal or constructive)
- (2) **Past event:** The obligation arose from a past event
- (3) **Future outflow:** Settlement is expected to result in an outflow of resources

Recognition Criteria (both must be met)

- (1) **Probable outflow:** It is probable that resources will flow out
- (2) **Reliable determination:** The amount can be determined reliably

VALUATION OF ASSETS AND LIABILITIES

First Valuation (Initial Recognition)

Acquisition Cost (Purchased Assets)

Acquisition cost = Purchase price + Incidental costs – Price reductions + Financial expenses (IAS 23)

- **Incidental costs:** Import duties, transport, packaging, non-recoverable taxes, handling
- **Price reductions:** Trade discounts, rebates, volume discounts
- **IAS 23:** Borrowing costs directly attributable to acquisition may be capitalized

Cost of Conversion (Manufactured Assets)

Cost of conversion = Direct costs + Production overhead + Conveyance costs + Fin. expenses

- Direct costs: raw materials, direct labor
- Production overhead: factory rent, depreciation of production equipment, supervisor salaries
- **Prohibited from inclusion:** Idle capacity costs, non-production inventory costs, admin overhead, distribution costs

Subsequent Valuation

After initial recognition, assets are valued using one of three approaches:

1. Depreciation (Systematic)

- Allocates the cost of an asset over its useful life
- Methods: straight-line, declining balance, activity-based

Depreciable amount = Acquisition cost – Residual value

2. Impairment (Non-Recurring)

- A one-time write-down when the asset's carrying amount exceeds its recoverable amount
- Per IAS 36: test when indicators of impairment exist

3. Fair Value (Market-Based)

- The price that would be received to sell an asset in an orderly transaction
- Used when market prices are available and reliable

Inventory Valuation Methods

- **FIFO** (First In, First Out): Oldest inventory is sold first; ending inventory reflects recent prices

- **Weighted Average:** Average cost of all units available; smooths price fluctuations
- **Lower of cost or market:** Inventories carried at the lower of acquisition cost and net selling price

For subsequent valuation of inventory, the lower of cost or market concept applies (in addition to FIFO or average cost method)

If the market price of the items in stock comes under pressure, and the market price falls below the inventory valuation, an inventory adjustment must apply (called impairment).

This concept is called: lower of cost or market

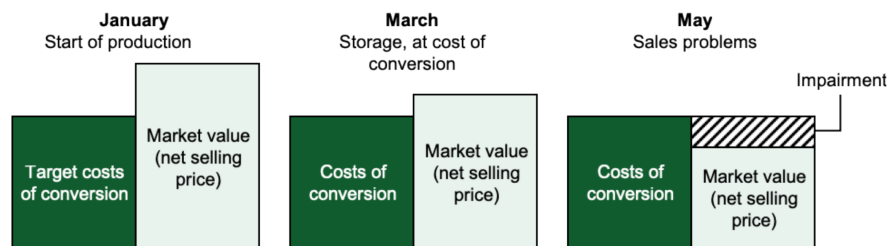


Figure: Lower of Cost or Market - Cost vs. Net Selling Price over time; write-down when market falls below cost

SELECTED FINANCIAL POSITIONS

Intangible Assets (IAS 38)

Beyond the standard 3 asset definition criteria, intangible assets must also be:

- **Identifiable:** Can be separated from the entity or arises from contractual/legal rights
- **Non-monetary:** Not cash or a right to receive cash
- **Without physical substance:** No tangible form

Research vs Development (R&D)

The treatment of R&D costs differs sharply between the two phases:

- **Research phase:** Always expensed immediately (too uncertain to capitalize)
- **Development phase:** May be capitalized as an intangible asset if ALL 6 criteria are met:
 - > (1) Technical feasibility of completing the asset
 - > (2) Intention to complete and use/sell
 - > (3) Ability to use or sell the asset
 - > (4) Demonstration that the asset will generate future economic benefits
 - > (5) Availability of adequate resources to complete development
 - > (6) Ability to reliably attribute costs to the development phase

R&D Treatment Summary

Research = ALWAYS expense. Development = capitalize only if ALL 6 criteria met. In practice, many companies expense all R&D because proving the 6 criteria is difficult. Important: brands created in-house and customer lists CANNOT be capitalized (no reliable valuation).

Goodwill (IFRS 3)

Definition

Goodwill arises ONLY from acquisitions. It is the premium paid above the fair value of the acquired company's net assets:

$$\text{Goodwill} = \text{Purchase Price} - \text{Revalued Net Assets of Acquired Company}$$

Reasons a buyer pays more than net asset value:

- Expected excess returns (synergies, market position)
- Non-capitalizable assets (employee know-how, customer relationships)
- Strategic pricing (elimination of a competitor)

Example 1: Simple Acquisition (Textbook)

Parent buys Subsidiary for CHF 130M. Revalued equity of Subsidiary = CHF 110M.

$$\text{Goodwill} = 130 - 110 = \text{CHF } 20\text{M}$$

- Goodwill is capitalized as an intangible asset on the acquirer's SFP
- Goodwill is NOT amortized but tested for impairment annually

Goodwill Impairment Test

Each year, compare the recoverable amount (sum of expected future cash flows) to the carrying amount:

- If recoverable amount $\geq$ carrying amount: no impairment
- If recoverable amount $<$ carrying amount: write down to recoverable amount
- **Impairment of goodwill can NEVER be reversed**

Example 2: Full vs Partial Goodwill (Lecture)

Parent buys 60% of Subsidiary for CHF 180M. Revalued equity of Subsidiary = CHF 200M.

Full goodwill method: Gross up to 100% of the purchase price:

$$\text{Implied 100\% price} = \frac{180}{0.60} = 300$$

$$\text{Full goodwill} = 300 - 200 = \text{CHF } 100\text{M}$$

Partial goodwill method: Only recognize the acquirer's share:

$$\text{Partial goodwill} = 180 - (0.60 \times 200) = 180 - 120 = \text{CHF } 60\text{M}$$

Full vs Partial Goodwill

Full method: grosses up to 100%, recognizes goodwill for both majority and minority. Partial method: only recognizes goodwill attributable to the acquirer. IFRS allows both methods. Full method results in higher total assets and higher minority interest.

Kraft-Heinz: \$7.3B Goodwill Impairment (Lecture)

Kraft-Heinz wrote down \$7.3 billion in goodwill, causing a dramatic drop in equity. This illustrates the real-world impact of overpaying for acquisitions and the importance of goodwill impairment testing.

Exam Example: AllMyServices / CreativeApp (Lecture)

AllMyServices Ltd. acquires CreativeApp Ltd. for CHF 20M. The individual positions must be revalued:

- Step 1: Revalue all individual assets and liabilities to fair value
- Step 2: Calculate revalued equity = Revalued assets - Revalued liabilities = CHF 7.5M
- Step 3: Calculate goodwill:

$$\text{Goodwill} = 20\text{M} - 7.5\text{M} = \text{CHF } 12.5\text{M}$$

- Step 4: Record booking entries (debit assets at fair value, debit goodwill, credit cash/consideration)

For the exams

2.2	Purchase of a company AllMyServices Ltd. decides to buy 100% of CreativeApp Ltd. The purchase price is 20 million CHF, the equity of CreativeApp Ltd. is 1.5 million CHF, and the re-valuations are +4.5 million CHF for current assets and +1.5 million CHF for non-current assets. Which are the relevant booking entries for the re-valuations? Does AllMyServices Ltd. pay a goodwill, if so how much?	3
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Figure: AllMyServices/CreativeApp Exam Example - Revaluation, booking entries, and goodwill calculation

Provisions and Contingent Liabilities (IAS 37)

Provisions

A provision is a liability of uncertain timing or amount. Three preconditions:

- (1) Present obligation from a past event
- (2) Probable outflow of resources (> 50% probability)
- (3) Reliable estimation of the amount

Decision Tree

- **Probability > 50%** and reliable estimate: Recognize a **provision** on the SFP
- **Probability < 50%** (but not negligible): Disclose as **contingent liability** in notes
- **Negligible probability**: No disclosure required

For the exams

2	Case merger AllMyServices Ltd. The AllMyServices Ltd. discloses the following statement of financial positions as per 2013 (in million CHF): <table><tr><th colspan="2">Assets</th><th colspan="2">Liabilities & Equity</th></tr><tr><td>Current assets</td><td>45</td><td>Short-term liabilities</td><td>15</td></tr><tr><td></td><td></td><td>Long-term liabilities</td><td>15</td></tr><tr><td></td><td></td><td>Equity</td><td>30</td></tr><tr><td>Non-current assets</td><td>15</td><td></td><td></td></tr></table>	Assets		Liabilities & Equity		Current assets	45	Short-term liabilities	15			Long-term liabilities	15			Equity	30	Non-current assets	15			10
Assets		Liabilities & Equity																				
Current assets	45	Short-term liabilities	15																			
		Long-term liabilities	15																			
		Equity	30																			
Non-current assets	15																					
2.1	<i>Evaluating purchase of a company</i> AllMyServices Ltd. is planning to buy the CreativeApp Ltd., a start-up company that was founded three years ago and that has developed several apps, which integrate the different sensors of smartphones and tables (such as GPS, location, movement, pressure, etc.) creatively into the user experience. The AllMyServices Ltd. asks you, for which two positions of the statement of financial position a re-valuation of the assets of CreativeApp Ltd. should be considered. What is your suggestion for AllMyServices Ltd.? Explain your two suggestion in detail.	4																				

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Figure: Decision Tree for Provisions vs Contingent Liabilities

Warranty Provision Example

L-Tech AG sells 500,000 keyboards. Historical data shows 10% defect rate, CHF 7 repair cost per unit:

$$\text{Warranty provision} = 500,000 \times 10\% \times \text{CHF } 7 = \text{CHF } 350,000$$

Equity Positions

Equity = Paid-in capital + Earned capital (retained earnings, reserves).

- **Share capital:** Swiss law requires minimum CHF 100,000 (Art. 621 CO), with at least 20% paid-in (Art. 632 CO)
- **Legal reserves:** 5% of annual profit until reserve = 20% of share capital (Art. 671 CO)
- **Retained earnings:** Accumulated profits not distributed as dividends
- **Other comprehensive income (OCI):** Currency translation, revaluation reserves, actuarial gains/losses

DEPRECIATION METHODS (TEXTBOOK DETAIL)

Three common methods for systematic depreciation of PPE and intangible assets. Example: Asset cost = CHF 500k, useful life = 5 years, residual value = 0.

1. Straight-Line

$$\text{Annual depreciation} = \frac{500,000}{5} = \text{CHF } 100,000 \text{ per year}$$

- Equal charge each year. Simplest and most common method.

2. Declining Balance

- Fixed percentage applied to the **book value** (not original cost)
- Higher depreciation in early years, decreasing over time
- Example with 40% rate: Year 1 = 200k, Year 2 = 120k, Year 3 = 72k, etc.

3. Activity-Based (Units of Production)

$$\text{Depreciation} = \frac{\text{Actual activity}}{\text{Total expected activity}} \times \text{Depreciable amount}$$

- Ties depreciation to actual usage (e.g., machine hours, units produced)
- More accurate when asset wear depends on usage, not time

SUMMARY OF KEY EQUATIONS AND TERMS

Key Equations

$$\text{Equity} = \text{Assets} - \text{Liabilities}$$

$$\text{Goodwill} = \text{Purchase Price} - \text{Revalued Net Assets}$$

$$\text{Full Goodwill} = \frac{\text{Purchase Price}}{\text{Ownership \%}} - \text{Revalued Equity}$$

$$\text{Partial Goodwill} = \text{Purchase Price} - (\text{Ownership \%} \times \text{Revalued Equity})$$

$$\text{Acquisition Cost} = \text{Price} + \text{Incidentals} - \text{Discounts} + \text{IAS 23}$$

$$\text{Depreciable Amount} = \text{Cost} - \text{Residual Value}$$

$$\text{Warranty Provision} = \text{Units} \times \text{Defect Rate} \times \text{Cost per Unit}$$

Key Terms

Term	Definition
Statement of Financial Position (SFP)	Balance sheet showing assets, liabilities, and equity at a point in time
Current Assets	Assets expected to be converted to cash within 12 months
Non-Current Assets	Long-term assets: PPE, intangibles, investments
Asset Definition Criteria	Control + Past event + Future economic benefits
Asset Recognition Criteria	Probable benefit + Reliable valuation
Liability Definition Criteria	Obligation + Past event + Future outflow
Acquisition Cost	Purchase price + incidentals - discounts + IAS 23
Cost of Conversion	Direct costs + production overhead (excl. admin/distribution)
Depreciation	Systematic allocation of cost over useful life
Impairment	Non-recurring write-down when carrying > recoverable amount
Fair Value	Market-based exit price in orderly transaction
Lower of Cost or Market	Inventories carried at lower of cost and net selling price
FIFO	First In, First Out inventory method
Intangible Asset	Identifiable, non-monetary, no physical substance

Goodwill	Purchase premium over revalued net assets; only from acquisitions
Full Goodwill Method	Grosses up to 100%; higher assets and minority interest
Partial Goodwill Method	Only acquirer's share of goodwill recognized
Goodwill Impairment	Annual test; write-down if recoverable < carrying; never reversible
Provision (IAS 37)	Liability with uncertain timing/amount; > 50% probability
Contingent Liability	Possible obligation; < 50% probability; disclosed in notes only
Accrual Principle	Recognize revenues/costs when they occur, not when cash moves
Going Concern	Assumption that the company will continue operating
IAS 23	Borrowing costs standard; allows capitalization of directly attributable costs
IAS 38	Intangible assets standard; R&D, patents, goodwill rules